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FP&A Foundations

A practical primer for people new to FP&A · November 2026

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Purpose and how to use this

This is a primer for people new to FP&A: analysts moving into the function, and the consultants, engineers, and business partners who work alongside it. Read it once end to end, then come back to it when you meet a term or process you don't recognize.

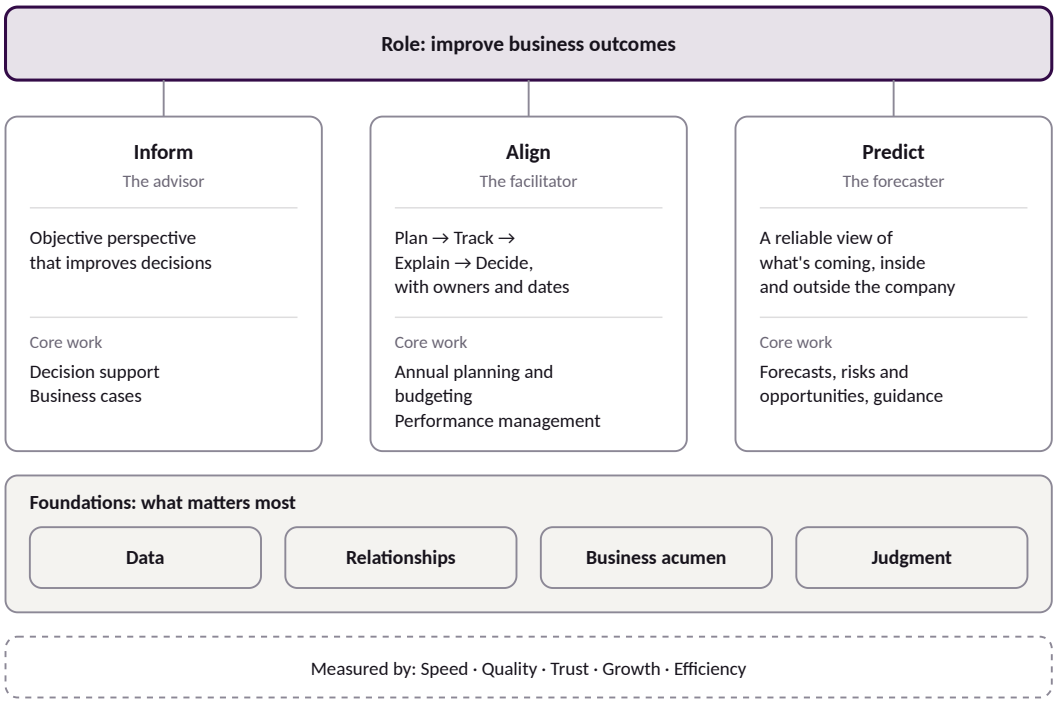
Context. Written for mid-enterprise public companies: full public-company obligations (quarterly earnings, guidance, board, audit) carried by lean finance teams on mid-maturity systems. Sector-agnostic.

Why it matters. FP&A is where strategy meets the numbers. Anyone who plans with, builds for, or advises a finance team does better work once they understand how the function actually runs.

How to read it. Most sections give common practice first, then an **In practice** note on what it means day to day. The main guide is the core read. The Reference section at the end holds look-up material (data structure, planning disciplines, tech stack, analyst toolkit, glossary), and section 7 looks at where FP&A is heading. For universal practice at scale, *Financial Planning & Analysis and Performance Management* (Jack Alexander, Wiley, 2018) is a strong baseline read; it's worth at least a scan, even for experienced FP&A leaders.

Know these five cold: Inform, Align, Predict (section 2); the four foundations (section 3); the Align loop (section 5); the stack layers (section 7); and the five effectiveness measures (section 8). Everything else is there when you need it.

Three ways to improve outcomes, built on four foundations



Read it top-down: the role is the goal, three mechanisms deliver it, four foundations hold them up, and five measures show whether it's working.

Balances, not rules. Most of these concepts are trade-offs to strike, not black-and-white rules. The right balance can shift quickly, even at the same company.

1. The role of FP&A

FP&A exists to improve business outcomes. Forecasts, reports, and models are the means, not the end. A useful test: if an output doesn't change a decision or an action, ask why it exists.

The fastest way to understand FP&A is to contrast it with Accounting, the function it works most closely with.

	Accounting	FP&A
Core question	What happened?	Why did it happen, and what happens next?
Time orientation	Past (closed periods)	Future (forecast, plan)
Standard	Precise, GAAP-compliant, audited	Directional, decision-useful, defensible
Main outputs	Financial statements, the monthly close	Forecasts, plans, variance analysis, business cases
Main customers	Auditors, regulators, investors	CFO, CEO, business leaders, board

Accounting produces the actuals FP&A starts from. FP&A is only as good as the close it builds on.

The ultimate goal: enterprise value

Better business outcomes ultimately show up in **enterprise value (EV)**: the total value of a company's operations, independent of how it is financed. Public companies are judged on it, executive incentives usually tie to its drivers, and FP&A influences every one of them.

Driver	Why it matters	Levers FP&A helps pull
Revenue growth	Expands the cash flow base and earns higher multiples	Pricing, customer acquisition and retention, new markets and products
Margins	Higher margins mean more free cash flow	Cost discipline, product mix, automation, supply chain efficiency
Capital efficiency (ROIC)	Investors reward high returns on capital deployed	Capex discipline, working capital, exiting low-return assets
Cash flow	EV is the present value of expected future free cash flows	Recurring revenue, spend control, collections
Risk	Lower risk lowers the discount rate, which raises EV	Strong balance sheet, diversification, reliable guidance
Market perception	Investor confidence sets the valuation multiple	Clear strategy, consistent execution, credible forecasts

There are five common ways to measure EV (see Reference section D). The one FP&A shapes most is discounted cash flow (DCF), which values the business on its forecast: an unreliable forecast means an unreliable valuation.

Size the levers before pulling them. In an illustrative valuation model of a $25B-revenue company, half a point of extra revenue growth adds about $3.5B of EV (roughly $7.5B per full point), one point of gross margin about $4B, and $100M of overhead savings about $1.4B. Revenue growth is the biggest lever, margin is next, and cost cutting moves EV least.

Companies also protect goals that don't lift EV right away, such as liquidity, compliance, and customer and employee satisfaction, because they protect it over the long term.

> **In practice.** Building is a critical FP&A skill. The best teams don't just produce numbers; they build the data, models, and workflows that make good decisions repeatable. The company should own that system.

2. How FP&A creates value: Inform, Align, Predict

FP&A improves outcomes through three mechanisms. They run side by side, not in sequence, and almost every piece of FP&A work serves one of them.

Mechanism	What it means	FP&A acts as	Covers
Inform	Bring an objective, numbers-based view to specific decisions. FP&A has no budget to protect, and that independence is the value.	Advisor	Business cases, scenario analysis, ad hoc analysis
Align	Align leaders on goals, track progress, explain gaps, and get decisions with owners and dates. Then hold leaders to those decisions.	Facilitator and scorekeeper	Annual plan and budgets, targets, KPI scorecards, business reviews
Predict	Give leaders and investors a reliable view of what's coming, built from models and from what business partners see ahead.	Forecaster	Monthly and quarterly forecasts, risks and opportunities, guidance support, earnings and board materials, inputs to forecast-based accounting estimates

Inform covers one-off decisions (should we invest, hire, reprice?). Align covers the recurring ones: what to do about gaps against the plan. Section 5 shows how each mechanism breaks into day-to-day work.

Internal vs. external: three numbers, one story

FP&A serves two audiences. Leaders inside the company use the numbers to run the business; the board and investors use them to judge it. New team members tend to see only the internal side, but the work should always be built backwards from the external view. For example, unit volume, price, and cost per unit (internal metrics) roll up into EBITDA and free cash flow (external metrics).

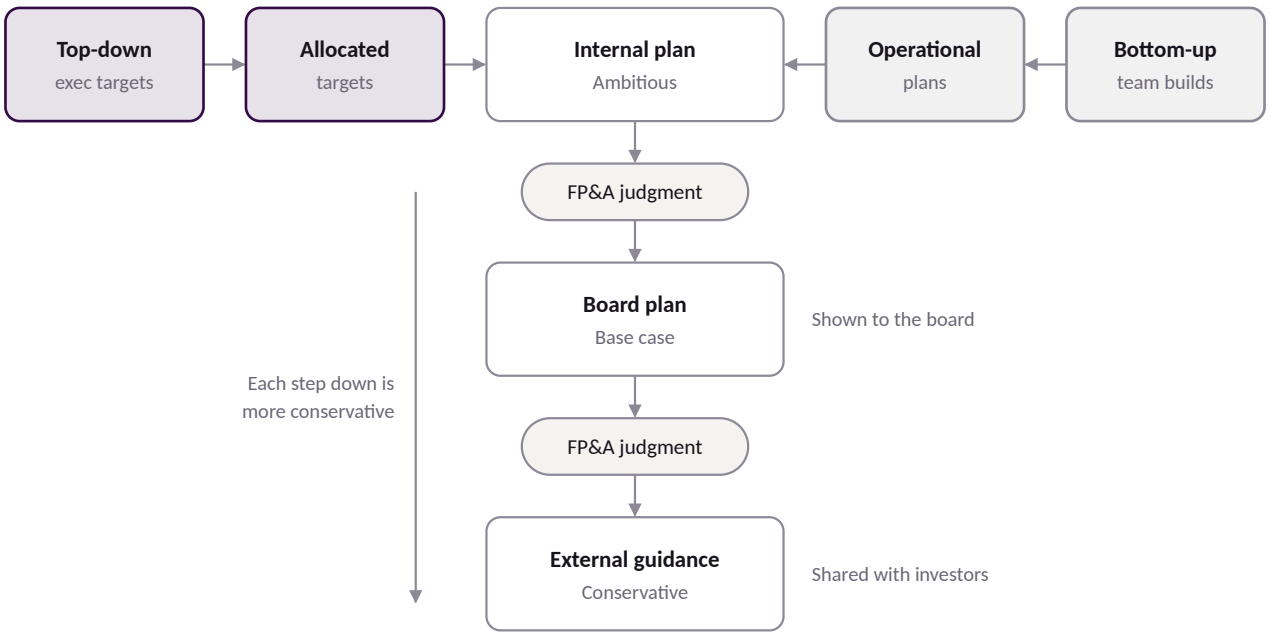
	Internal	External
Audience	C-suite, functional leaders, Accounting, Treasury, Tax	Board, investors and analysts, lenders
Purpose	Align on targets, track and explain performance, guide decisions	Report performance, set expectations, manage financial risk
Deliverables	Management reporting, business cases, plans and forecasts	Board decks, earnings materials, guidance, investor reports
Typical KPIs	Sales volume, revenue, headcount, contribution margin, retention	YoY growth, EBITDA, free cash flow, EPS, CLV and CAC, ROIC

The two views produce different numbers on purpose:

Number	How it's built	Audience	Built to be
Internal operating plan	Top-down targets reconciled with bottom-up plans	Leaders and budget owners	Ambitious; often tied to incentive comp

Number	How it's built	Audience	Built to be
Board plan	FP&A judgment applied to the internal plan	CFO, exec team, board	Base case: the most likely outcome
External guidance	FP&A judgment applied again	Investors, analysts	Conservative: high confidence of meeting or beating

Top-down meets bottom-up, then FP&A judgment steps the plan down to guidance



Top-down targets and bottom-up builds meet in the internal plan; each pass of FP&A judgment makes the next number more conservative.

The gaps between the numbers must be deliberate, reconciled, and explainable. Internal priorities (time savings, influence, advancement) and external ones (market value, cash flow) can pull against each other; part of FP&A's job is spotting when they do.

Top-down vs. bottom-up

Leadership sets ambition, functions build their needs, and the plan is the negotiated middle. Most companies start with top-down targets, then reconcile them with bottom-up plans in each major cycle, as the flow above shows. The skill is setting targets that are aspirational without being unrealistic. Driver-based models (e.g., headcount × cost per head, pipeline × win rate) make that negotiation faster and more honest.

	Top-down	Bottom-up
Set by	CEO, CFO, exec team	Business unit and department leaders, with FP&A
Starts from	Strategy, investor expectations, growth and margin targets	Sales forecasts, staffing plans, operational drivers

	Top-down	Bottom-up
Strengths	Fast, strategically aligned, easy to communicate externally	Grounded in operations, builds ownership, surfaces risks early
Watch-outs	Can ignore operational reality; weak buy-in	Slow, prone to sandbagging, can lose strategic cohesion
Best when	Speed and alignment matter most, under tight board scrutiny	Accuracy and accountability matter most, in fast-changing businesses

> **In practice.** Objectivity depends on one version of the truth. When every function keeps its own numbers, FP&A spends its time reconciling instead of informing. A governed, semantic data layer is what lets FP&A stay the honest broker.

3. What matters most: four foundations

Strong FP&A rests on four things. Tools change; these don't. Data is the raw material, business acumen turns it into meaning, judgment turns meaning into a recommendation, and relationships get that recommendation acted on.

Foundation	What it means	What good looks like	How to build it as an associate
Data	Accurate, timely, consistent numbers from one source	Numbers tie out and definitions are shared. People debate what the data means, not whether it's right.	Learn the source systems (ERP, CRM, HR, planning tool). Trace one number from the general ledger to the board deck.
Relationships	Trust with business leaders, Accounting, and the exec team	Leaders pull FP&A in before decisions, not after.	Learn how a leader's part of the business works before asking for numbers. Deliver what you promised, when you promised it.
Business acumen	Knowing how the company makes money and what drives results	Any variance can be explained in operational terms, not just accounting terms.	Learn the business model, the top five drivers, and the KPIs leadership watches. Read the 10-K and the latest earnings call.
Judgment	Knowing what matters, how confident to be, and when to push back	Clear recommendation, right level of precision, risks flagged early.	State the "so what" and your confidence every time. Ask a senior how they'd call it, then compare.

> **In practice.** Agents take on the mechanics; people own judgment and relationships. As AI absorbs data prep and first-draft analysis, an FP&A professional's value concentrates in the two foundations machines can't hold. Data is usually the foundation to invest in first: the Governed Data and Semantic layers in section 7.

4. Key roles

Most mid-enterprise FP&A teams have four roles. In lean teams, one person often covers two.

Role	Owns	Main customer	Success looks like
VP / Head of FP&A	The forecast, the planning process, support for external guidance	CFO, CEO, board, Investor Relations	The exec team trusts the number. No surprises.

Role	Owns	Main customer	Success looks like
Business Partner	FP&A's relationship with one function or business unit (e.g., Sales, R&D, G&A). Translates finance for the business and the business for finance.	Functional leaders	Leaders act on FP&A input; budget owners hit plan.
Analyst	Models, consolidation, variance analysis, reporting packages	Business Partners, VP	Accurate, on-time, insightful first drafts
Engineer	Data pipelines, the planning platform, automation, and agents	The whole FP&A team	Less manual work, faster cycles, one trusted data source

Around the team: the **CFO** is FP&A's primary customer. **Accounting** supplies actuals, **Investor Relations** uses the external outlook, **Treasury** relies on the cash forecast, and **Tax** needs the forecast for the tax provision and cash tax planning.

How the team is organized

Most FP&A teams follow a similar shape: a VP reporting to the CFO, two overlay teams, and business-aligned teams in between.

FP&A runs through one VP, with sub-teams partnered to the business



Corporate FP&A and Systems are overlays serving the whole function; Sales and Operations FP&A sit close to the leaders they support.

- **CFO.** Owns FP&A alongside Accounting, Treasury, Tax, Corporate Development, and Internal Audit. More strategic CFOs may also own IT, HR, or even Operations. Reports to the CEO and the board.
- **VP of FP&A.** Runs all of FP&A; the CFO's right hand and a business partner to the C-suite and board.
- **Corporate FP&A** (overlay). Works most directly with the CFO and VP: forecast consolidation, management reporting, long-range planning. Partners with G&A functions such as Accounting and HR, and works especially closely with Treasury and Tax on cash, debt, and taxes.

- **Sales FP&A and Operations FP&A** (business-aligned). Forecast their areas and give finance support to leaders like the CRO, CMO, COO, CPO, and CTO. Often embedded in the business.
- **Systems, Analytics, and BI** (overlay). Supports the team and the company with technology, data, and process improvement. This is the Engineer role in the table above.

Size varies widely: a mid-market team may be one or two people, a global enterprise team 100 or more. In mid-enterprise companies, one person often covers several boxes.

Business partnering

FP&A is not just a numbers game. Business partnering is the relationship side of the job. Ideally, FP&A's business partners can stand toe-to-toe with the executives they support.

What a business partner does:

1. Translate business decisions into financial impact.
2. Challenge assumptions to pressure-test business cases and reduce bias.
3. Run scenarios and evaluate risks.
4. Make the financials clear to non-finance operators.
5. Hold leaders accountable: measure performance against plan objectively and flag deviations early.
6. Hold regular strategic interviews with leaders to surface risks, opportunities, and the why behind results.

Partner	Where FP&A focuses
CEO, CFO, board	Long-range planning, capital allocation, M&A, board reporting
Accounting, Treasury, and Tax	Actuals and close, the cash forecast, debt and liquidity, tax provision and cash taxes
Sales and Marketing	Revenue forecast, pipeline, pricing against margin goals, marketing ROI
Operations and Supply Chain	Cost of goods sold, capacity, inventory and working capital
Product and R&D	Business cases for new products, R&D spend, payback
HR and People	Headcount and labor cost, compensation modeling
IT and G&A	Systems business cases, overhead efficiency, cost allocations

The healthy tension. FP&A has to hold leaders accountable while serving their needs and keeping good working relationships. Corporate FP&A usually leans toward accountability; business-aligned FP&A leans toward service. Both are needed.

> **In practice.** The Engineer role is where FP&A is heading. Many mid-enterprise teams don't have one yet, so systems work falls to IT or a single tool admin. This capability belongs inside FP&A, so the team can change its own data and models without waiting on someone else's queue.

5. Core responsibilities and operating rhythm

The three mechanisms break into four core responsibilities, run on a predictable calendar. Learn the rhythm first; the work follows it.

Mechanism	Responsibility	Cadence	What it is	Key outputs
Inform	**Decision support and business cases**	As needed	Evaluate specific decisions: investments, hires, pricing, acquisitions	Business case, scenario model, recommendation
Align	**Annual planning and budgeting**	Yearly; typically starts in Q3 or Q4, approved by the board around year end	Set next year's targets and resources by reconciling top-down ambition with bottom-up builds	Annual operating plan (AOP), headcount plan, targets with owners
Align	**Performance management**	Monthly and quarterly	Track KPIs against targets, explain gaps, run business reviews, and hold owners to their decisions	KPI scorecard, monthly or quarterly business review (MBR / QBR), decision log
Predict	**Forecasting and reporting**	Monthly, with a deeper quarterly outlook	Update the forecast with the latest actuals and business partner input; report results against plan and forecast. Most companies forecast the rest of the fiscal year monthly; many also keep a rolling view 4 to 6 quarters ahead.	Updated forecast, risks and opportunities, management report, variance commentary, guidance support

Inform: decision support

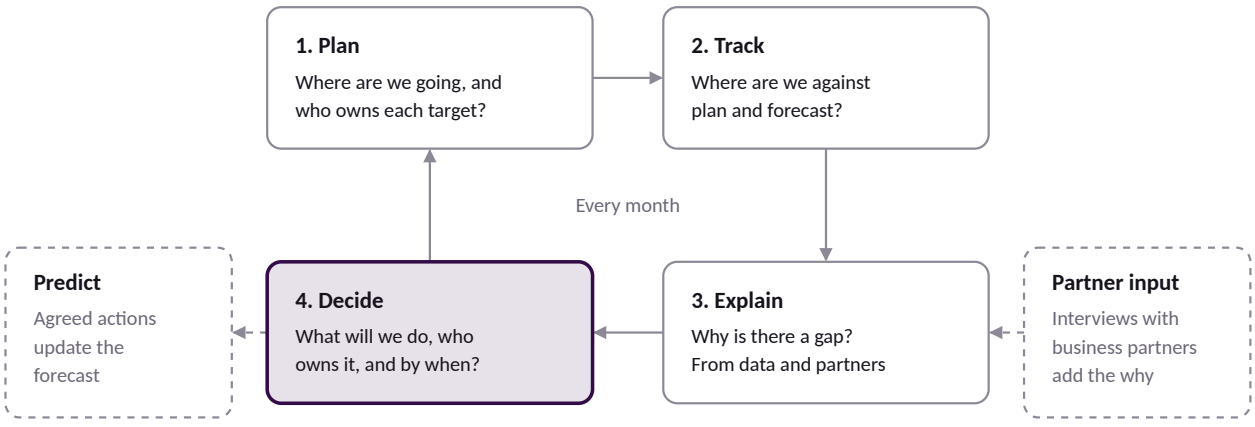
Inform answers one decision at a time: should we invest, hire, reprice, or acquire? Structure every business case the same way:

Problem → Options → Financial impact → Risks → Recommendation. Financial impact covers P&L, cash, and return (NPV, IRR, and payback; see Reference section D). Risks include the sensitivities that would change the answer. Put the recommendation first; decision-makers should get the answer in the opening paragraph.

Align: Plan → Track → Explain → Decide

Align runs as a loop: Plan is set yearly, and Track, Explain, and Decide repeat every month. FP&A runs the process; leaders own the decisions.

Decisions close the loop and update the forecast



Step	What happens	FP&A deliverable	When
Plan	Set targets and the resources to hit them; give every target an owner	AOP, budgets, targets by owner	Yearly; refreshed when the forecast moves materially
Track	Compare actuals and leading indicators with plan and forecast	Flash, KPI scorecard	BD 1–4
Explain	Find the why behind each gap, from the data and from business partners	Variance commentary (What → Why → So what → Now what)	BD 4–7
Decide	Leaders agree actions, each with an owner and a date	Business review decision log, updated forecast	Around BD 10

Decide closes the loop: next month's Track step checks the actions agreed this month. It also feeds Predict, because agreed actions change the outlook.

Explaining a variance: What → Why → So what → Now what. Keep the what to one line and spend the words on the why and the now what.

What makes the loop work:

- **Start from strategy.** Targets should trace back to strategy and value drivers, then cascade to the processes and owners that move them. Picking dashboards first tends to produce measures chosen for convenience rather than importance.
- **Owners on everything.** Every target and every decision needs a named owner, a deadline, and a clear definition of done, and results should show up in reviews, promotions, and incentive pay.
- **Hit targets the right way.** Target pressure never justifies crossing legal or ethical lines; plenty of accounting frauds began with exactly that pressure.
- **Build it into the calendar.** The loop runs through the operating plan, business reviews, and talent reviews, not as a separate program. It needs visible sponsorship: when the CEO and CFO run their own reviews through it, everyone else follows.

Source: several of these principles are adapted from Jack Alexander, Financial Planning & Analysis and Performance Management *(Wiley, 2018)*, *chapters 7 and 9*.

Predict: models plus business partner intelligence

A forecast is a model plus intelligence. The model gives the baseline from actuals and drivers. Strategic interviews with business partners add what the data can't show yet: a deal slipping, a supplier problem, a hiring freeze, a new initiative.

- **Who and when.** Business partners and the leaders they support: in depth at each quarterly outlook, briefly each month.
- **What to ask.** What's changed since last month? What could make the number better or worse? What decisions are coming that we should model?
- **What it produces.** A risks and opportunities list, each item with its impact, probability, timing, and owner. Weight items by probability to adjust the forecast, and keep the big swings as scenarios.
- **Where else it shows up.** The same conversations supply the why in the Align loop's Explain step and the qualitative angle in triangulation (section 6).

As agents take over more of the baseline model, these conversations become a bigger share of the job. They're judgment and relationship work, the two foundations machines can't hold.

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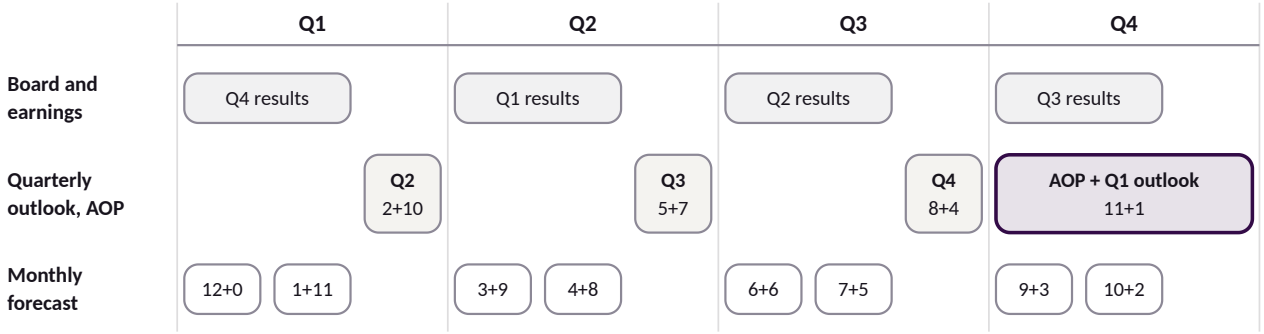
The planning calendar

Five recurring cycles make up the FP&A year. They overlap, which is why teams need to run several versions and scenarios side by side.

Cycle	Frequency and timing	Horizon	Purpose	Key deliverables
Long-range plan (LRP)	Every 1–3 years, often Q1 or Q2 (off-cycle)	3–5 years	Inform long-term strategy; give investors valuation context	Three-statement model, strategic plans, capital plan
Annual operating plan (AOP)	Yearly; starts in Q3 or Q4, board-approved around year end	12–18 months	Set targets and the business plans to hit them	Company targets, board-approved plan, function plans
Quarterly outlook	Quarterly, aligned to board and earnings cycles	Rest of year, or 4–6 quarters	Recast the forecast against the AOP and adjust course	Forecast update deck, scenarios, risks and opportunities
Monthly forecast	Monthly, close + 5–10 business days	Rest of year	Light-touch update; track pacing to quarterly and annual goals	Flash results, variance commentary, pacing
Board and earnings prep	Quarterly, usually right after the outlook	Current and next quarter, rest of year, next year	Prepare the external story	Board deck, guidance, earnings call support

A new forecast version lands every month, and the cycles overlap

Typical public-company fiscal year



Labels are actual + forecast months: 3+9 means three months of actuals and nine of forecast.

Each quarter's last month carries the quarterly outlook; the AOP, often started in Q3, is finalized in Q4 while monthly forecasts keep running.

Typical schedule. Monthly forecasts run in the first two months of each quarter (the year-end close-out (12+0) and 1+11 in Q1, 3+9 and 4+8 in Q2, 6+6 and 7+5 in Q3, 9+3 and 10+2 in Q4). Quarterly outlooks land in the last month of Q1 to Q3 (2+10, 5+7, 8+4), and the AOP plus next year's Q1 outlook (11+1) in Q4. Board meetings and earnings for the prior quarter fall in the first half of each quarter.

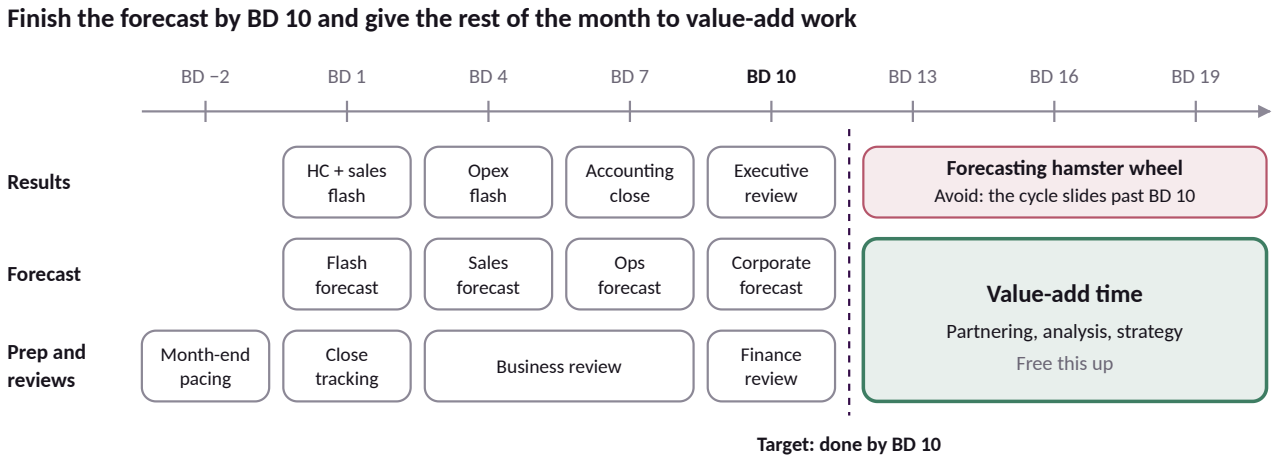
Two kinds of forecast. A *year-to-go* forecast runs to fiscal year-end, so its horizon shrinks each month. A *rolling* forecast always looks a fixed distance ahead, often 4–6 quarters, adding a period as each one closes. Most mid-enterprise public companies run the year-to-go forecast monthly, because targets and guidance are set on the fiscal year, and many add a rolling view to see past year-end.

Year-to-go forecast versions are named **actual + forecast months**. A forecast built after March closes is "3+9": three months of actuals, nine of forecast.

That's the theory. In practice, board and earnings dates move, the AOP can run well into Q1, and a shock (COVID, for example) can reset the whole calendar with a re-plan. Long-range planning may also be folded into the AOP or done ad hoc.

The monthly cycle

A typical (and ideal) public-company month, counted in business days (BD) after month end:



Flashes, forecasts, and reviews run in parallel through BD 10; everything after that is time for the business, unless the cycle slides.

Business day	Results	Forecast	Prep and reviews
BD −2			Month-end pacing
BD 1	Headcount and sales flash	Flash forecast	Close tracking
BD 4	Opex flash	Sales forecast	Business review (BD 4–7)
BD 7	Accounting close	Operations forecast	Business review
BD 10	Executive review	Corporate forecast	Finance review
After BD 10	Value-add time: partnering, analysis, strategy		

How it works:

- **Data arrives in order.** Headcount and sales volume come first because they're operational data and need no accounting work. Revenue, operating expenses, balance sheet, and cash flow follow, roughly in that order. Close often takes 5+ business days, so FP&A updates the forecast progressively instead of waiting.
- **Flash first.** Leadership gets a flash as soon as results are available, verified, and reviewed. Speed is paramount.
- **Forecast in dependency order.** Sales first, operations second, corporate last (consolidation and translation into financials). When time is short, corporate feels the squeeze.
- **Pull work forward.** Start pacing before the month closes, track operational data and known accounting adjustments, and have as much ready as possible before final results land.

- **Be ready to re-spin.** If executives change sales targets on BD 8, the forecast should still be done by BD 10.

The trap: the forecasting hamster wheel. When a team can't re-spin quickly, the calendar slides and the forecast isn't finished until month end or later. The team then forecasts and reports endlessly, with no time to partner with the business.

> **In practice.** The forecast runs the business; the annual plan sets the targets. Cycle time is a design choice, not a law. The target is a monthly forecast finished by about BD 10, with the rest of the month given back to partnering and analysis. Automated data and models are how teams get there.

6. Demand vs. supply: planning from multiple angles

Most planning questions have two sides: how much will be needed (demand) and how much the business can deliver (supply). Build each side separately, with the people closest to it, then compare them. Results land at the lower of the two, so the gap between them is often the most important thing a plan reveals. S&OP and workforce planning (Reference section B) are formal versions of this idea.

Planning area	Demand side	Supply side	What the gap tells you
Product and inventory	Customer demand forecast by product and location	Inventory on hand, production capacity, supplier lead times	Stockouts and lost sales, or excess inventory tying up cash
Revenue	Pipeline and expected bookings	Sales capacity: ramped reps × quota × expected attainment	Too little pipeline for the team, or too few reps for the pipeline
Hiring	Hiring targets from the headcount plan	Recruiting capacity: recruiters, time to hire, offer acceptance	Whether the hiring plan can happen on time
Projects and services	Project scope and backlog	Resource capacity: people × available hours × target utilization, by skill	Delivery dates at risk, or idle capacity

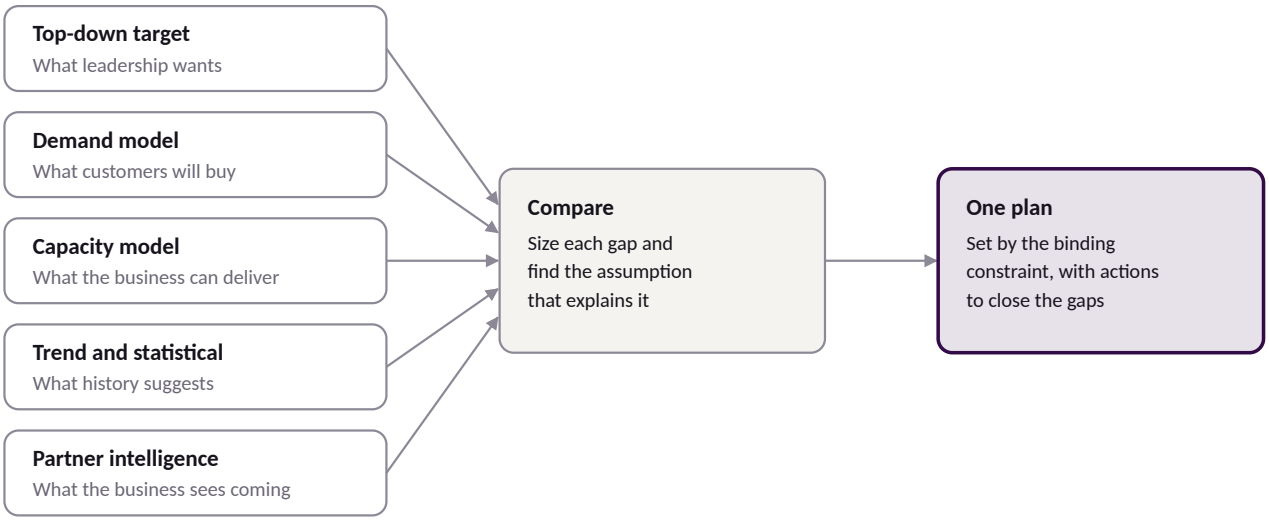
Plan to the binding constraint

- **The lower side sets the result.** If pipeline supports $50M of bookings but the sales team can close only $40M, the plan is $40M until capacity grows. (Illustrative figures.)
- **Constraints chain together.** One team's capacity plan becomes the next team's demand. More sales capacity needs hires, hires need recruiting capacity, and new reps need time to ramp. A plan that skips a link will miss.
- **Timing matters.** Capacity takes time to build: hiring lead time, ramp time, supplier lead time. Start the supply side early enough to meet demand when it arrives.
- **Close gaps with actions, not assumptions.** Add supply (hire, buy, outsource), shape demand (price, prioritize, phase), or lower the target. Write down which one the plan relies on.

Triangulate: build the number more than one way

No single model is right. Build the important numbers several ways, keep the models separate, and compare them.

Build each angle separately, then reconcile to one plan



Model	Answers	Strength	Watch-out
Top-down target	What leadership wants	Ambition and alignment with strategy	Can ignore what the business can deliver
Demand model	What customers will buy	Grounded in pipeline, orders, and market data	Optimism or sandbagging from the people who own it
Capacity model	What the business can deliver	Grounded in people, inventory, and assets	Can understate growth when capacity is about to change
Trend and statistical models	What history and the drivers suggest	Objective, quick to refresh, a simple reality check	Misses turning points; weak for new products and shocks
Business partner intelligence	What the people closest to the work see coming	Catches changes before they show up in the data	Anecdotal unless each item gets an impact and a probability

When the models agree, confidence is high. When they don't, the gap is the conversation: find the assumption that explains it before choosing a number. Keep the models independent; a team that sees another's number first tends to anchor on it.

> **In practice.** Separate models only help if they share one set of data and definitions. When demand and capacity models draw on the same governed data, the gaps reflect real differences in the business, not disagreements about the numbers. That's Connected Planning in practice (section 7).

7. Where FP&A is heading

AI is changing how FP&A works. The questions stay the same (How are we doing? Why? What should we do next?), but agents increasingly do the routine work of answering them, and people keep the judgment and sign-off.

Three ideas shape where strong FP&A teams are going: Connected Planning, the Strategic Finance Impact Curve, and owning the planning stack instead of renting it (the last two subsections).

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Connected Planning

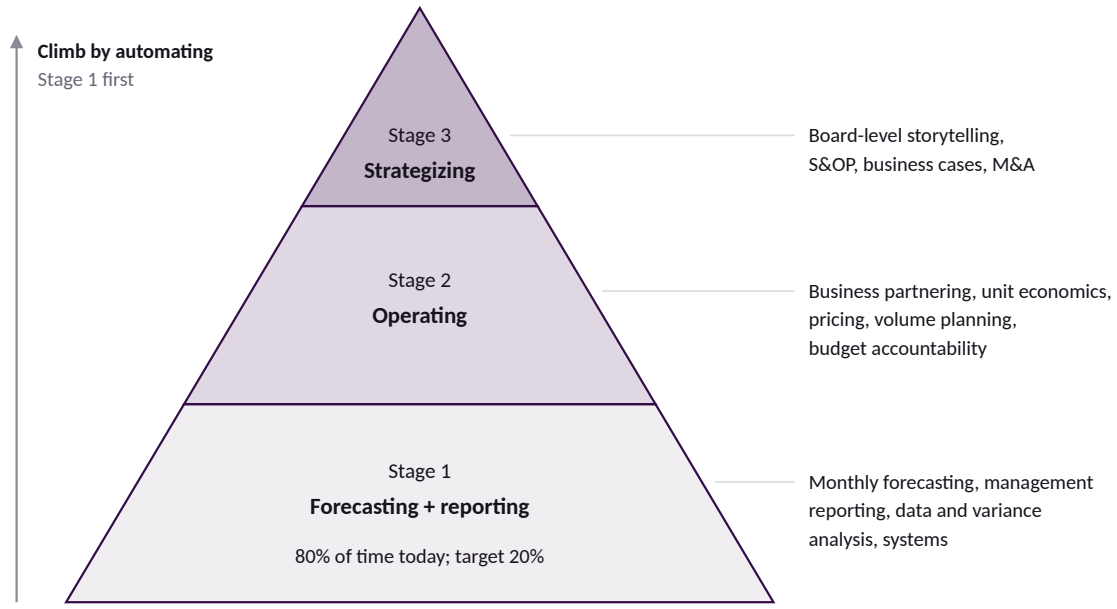
Connected Planning means full alignment on objectives and execution across every part of the company, not just Finance. (Anaplan popularized the term; it builds on earlier ideas such as integrated business planning.) Planning used to be a finance exercise; now Sales and Marketing, Operations, and Supply Chain plan alongside Finance.

- **More accurate plans.** Input comes from the people who know best, and the plan reflects real dependencies between functions.
- **One source of truth.** Operational and financial data agree, so less time goes to wrangling data and arguing over versions.
- **Alignment on execution.** The company stays focused on its strategic objectives, such as margin expansion or market share.

The Strategic Finance Impact Curve

The Impact Curve shows where FP&A's time should go. Most teams spend about 80% of their time on Stage 1, forecasting and reporting, stuck in a reactive, backward-looking mode. It should be closer to 20%.

Most teams spend 80% of their time at the base; the target is 20%



Stage	Focus	Typical work
1. Forecasting + reporting	Reactive and backward-looking; most teams spend about 80% of their time here	Monthly forecasting, management reporting, data and variance analysis, systems
2. Operating	Partnering to run the business	Business partnering, unit economics, pricing, volume planning, budget accountability
3. Strategizing	A seat at the strategy table	Board-level storytelling, S&OP, business cases, M&A

Teams climb by automating and systematizing Stage 1, which frees time to help run the business (Stage 2). Doing both well earns the team its seat at the strategy table (Stage 3). Any team can start the climb from wherever it is today.

Own vs. rent

Companies have long chosen between specialized tools for each function (best-of-breed) and one integrated platform; Reference section C compares the two. Best-of-breed won the cloud era for all but the largest companies. AI and the ability to build your own apps are now shifting the economics toward platforms the company owns, instead of renting a specialized EPM tool. The principle: the data and models shouldn't live inside any one vendor's tool.

A layered stack

A modern FP&A stack has five layers. Each builds on the one before it, and the company should own all five.

Layer	What it does	Typical technology
Governed Data	Clean, reconciled, secured data from source systems (ERP, CRM, HRIS) in one place, under the company's existing access controls	Cloud data platforms such as Microsoft Fabric, Snowflake, or Databricks
Semantic	One governed set of business definitions, metrics, and hierarchies, so every report, model, and agent calculates them the same way	Semantic models and metric layers, read by BI tools
Modeling	The planning logic: drivers, assumptions, scenarios, versions, and the forecast itself, with inputs captured from the business	Planning tools, notebooks, and connected spreadsheets
Context	What agents need to reason like a member of the finance team: plain-language definitions, planning processes and policies, past commentary and decisions, and secure connections to the layers below	Documented business knowledge, plus connections such as MCP
Agentic	AI agents do the work: prepare data, draft forecasts and variance commentary, answer questions, and run routine workflows, with people reviewing and deciding	AI assistants and agents such as Claude, ChatGPT, or Copilot

The agentic layer is model-agnostic. It may run on Claude, ChatGPT, and/or Copilot, depending on what the company already uses and trusts. Because the data, definitions, models, and context live in layers the company owns, the AI tool can change without rebuilding the layers beneath it.

8. Measuring effectiveness

Judge an FP&A function on five dimensions.

Dimension	The question it answers	Example measures
Speed	How fast does FP&A produce answers?	Business days from month end to updated forecast (target: about BD 10); turnaround on ad hoc requests
Quality	Are the numbers right, and are they useful?	Forecast accuracy against actuals; errors and rework; commentary that explains the why
Trust	Do leaders rely on FP&A's numbers and view?	FP&A brought in before decisions; numbers not re-litigated; one accepted source of truth
Growth	Is FP&A improving business outcomes?	Decisions informed; targets met; profitable growth against plan
Efficiency	What does it take to run FP&A, and where does the time go?	Share of time on Stage 1 forecasting and reporting (target: about 20%; see the Impact Curve in section 7); manual steps per cycle; tool and team cost

The five trade off. Speed without quality erodes trust, and efficiency without growth is just a cheaper report. Look at all five together.

> **In practice.** Every improvement effort should move at least one dimension measurably. Capture a baseline at the start (for example, forecast cycle days or hours of manual prep) so the improvement can be shown at the end.

9. Working in a public company

Public companies add an outside audience, and that raises the stakes of every forecast.

What's different

- **Quarterly earnings.** Results, and usually guidance, go out every quarter. FP&A supports the CFO and Investor Relations with forecasts, bridges, and Q&A prep.
- **Guidance is treated as a commitment.** It isn't legally binding, but a miss costs credibility and often share price, so forecast accuracy matters more than in a private company.
- **Board and audit committee.** Regular reporting on results, plan, and outlook.
- **Controls.** Some accounting estimates rely on forecasts and may fall under SOX controls. Expect documentation and review steps.
- **Lean teams.** Mid-enterprise companies carry these obligations with smaller teams and less mature systems than the Fortune 500. Process discipline and automation matter more, not less.

Rules for anyone who handles the numbers

- Treat forecasts, plans, and unreleased results as material non-public information (MNPI).
- Don't trade the company's securities while you hold MNPI, and follow its insider-trading and blackout policies.
- Keep company data in approved environments. Never paste it into personal or unapproved tools.
- If you're unsure whether something is sensitive, ask your manager before sharing it.

> **In practice.** Own versus rent applies here too. When the company owns its stack and its data stays in a governed environment it controls, confidentiality and auditability come built in.

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FP&A Foundations: Reference

Look-up material. Start with the main guide; come here when you need a definition, a formula, or the detail behind a process.

A. How FP&A data is structured

Every FP&A number is a fact, sliced by dimensions, in a version, for a period. Learn this shape once and every model, report, and semantic layer makes sense.

Element	What it is	Examples
Fact (measure)	The number itself	Amount, units, headcount, hours
Account	What the number is: a line in the chart of accounts	Revenue, COGS, salaries, travel
Department (cost center)	Who earns or spends it	Sales, R&D, Finance
Legal entity	Which company in the group books it	US Inc., UK Ltd.
Product or service line	What was sold	Product family, SKU, subscription plan
Customer, channel, region	Who bought, how, and where	Segment, direct vs. partner, geography
Time	When	Day, month, quarter, fiscal year
Version (scenario)	Which view of the number	Actual, budget (AOP), forecast (e.g., 3+9), upside, downside
Currency	What it's measured in	Local currency, reporting currency

In a data warehouse this is a **star schema**: fact tables of numbers, joined to dimension tables that describe them.

- **Hierarchies roll detail up.** Accounts roll up to P&L lines (salaries → personnel cost → Opex → operating income), departments to functions, entities to the consolidated company. Many reporting disagreements trace back to two teams using different hierarchies.
- **Mappings connect sources to reporting.** Each source system has its own codes. Mappings translate ERP accounts, CRM products, and HRIS departments into one reporting structure. Govern them: an unmapped account is a number that silently disappears.
- **Versions keep plans and actuals side by side.** Actuals, the AOP, and each forecast share the same dimensions, so any two can be compared (actual vs. plan, this forecast vs. last). Lock a version once it's published; never overwrite it.
- **Grain sets what you can answer.** Data stored monthly by department can't answer a weekly or per-customer question. Agree on each source's grain (transaction, daily, monthly) before building on it.

> **In practice.** This structure is what the Governed Data and Semantic layers encode. Get the dimensions, hierarchies, and mappings right once, and every report, model, and agent works from the same truth.

B. Planning disciplines

These disciplines sit underneath the planning calendar. You don't need to master them on day one, but you'll meet each of them in the work.

Three-statement modeling

Every FP&A leader has to model the three financial statements and how they link.

Statement	What it shows	How it links
Income statement (P&L)	Profitability over a period: revenue, COGS, operating expenses, interest, taxes, net income	Net income flows to retained earnings on the balance sheet and starts the cash flow statement
Balance sheet	Financial position at a point in time: assets, liabilities, equity	Changes in working capital, debt, and cash connect it to the other two
Cash flow statement	Actual cash in and out over a period: operating, investing, financing	Starts from net income, adjusts for non-cash items and balance sheet changes; ending cash ties to the balance sheet

- **Cash matters most, but the P&L runs the business.** Many companies manage operating performance on the P&L and treat EBITDA as a rough proxy for operating cash flow.
- **A full forecast goes deeper.** Forecasting all three statements means forecasting timing too: not just a customer's revenue, but when they're billed and when they pay.
- **Watch the non-cash items.** Depreciation, stock-based comp, deferred taxes, and accruals are why net income and cash flow differ.
- **Two cash flow methods.** The indirect method starts from net income and is standard for external reporting. The direct method lists actual cash receipts and payments; it's harder to build and more common in treasury and cash management.

Orders, billings, revenue, and collections

Four numbers describe the same customer deal at different moments. Mixing them up is one of the most common mistakes in FP&A.

Measure	What it is	When it happens	Data source	Where it shows up
Orders (bookings)	The customer commits to buy	Contract signed or order placed	CRM (Sales)	Pipeline and backlog; not on the financial statements
Billings	The company invoices the customer	Per contract terms: upfront, monthly, or at milestones	ERP (Accounting)	Accounts receivable; deferred revenue when billed ahead of delivery
Revenue	The company earns it by delivering	As the product or service is delivered (under ASC 606)	ERP (Accounting)	Income statement
Collections	The customer pays	Per payment terms, such as net 30	ERP and bank (Accounting, Treasury)	Cash flow statement; reduces receivables

Example. A customer signs a $120K annual subscription in January and is invoiced the full amount upfront on net-30 terms. January shows orders of $120K, billings of $120K, revenue of $10K, and collections of $0, leaving $120K in receivables and $110K in deferred revenue. The customer pays in February, and the company keeps recognizing $10K of revenue each month for the rest of the year.

- **Orders lead revenue.** They're the best leading indicator for the revenue forecast.
- **Billings and collections drive cash; revenue drives profit.** A company can grow revenue and still run short of cash if billing or collections lag.

- **Backlog shows revenue already secured.** Contracted revenue not yet recognized; public companies disclose it as remaining performance obligations (RPO).

Cash forecasting: a team game

No single team owns the cash forecast. It works only when FP&A, Accounting, Treasury, and Tax build it together and agree on one number.

Team	What it brings to the cash forecast
FP&A	The operating forecast: revenue, spending, headcount, capex, and the assumptions behind them
Accounting	Actuals and balance sheet detail: receivables, payables, accruals, and the timing of billing and payments
Treasury	Bank balances, the near-term cash forecast (often 13 weeks), debt, investments, FX, and liquidity
Tax	Timing and size of cash tax payments, and the tax effects of business decisions

Treasury usually owns the near-term view, in days and weeks; FP&A owns the longer view tied to the plan. The two must reconcile. Agree on shared assumptions (collection timing, payment terms, capex timing, tax payments) and true them up every cycle, or the company ends up with two cash numbers and trust in neither.

Budgeting

Budgeting is the unglamorous part of FP&A, and one of the most direct levers on margin.

- **Owners and visibility.** Budgets are set by department. Department leaders (budget owners) are accountable for them; FP&A shows them where they stand. Owners should feel real ownership.
- **Scope.** Operating expenses and headcount, sometimes capital expenditures. Usually limited to controllable costs the owner can influence, so items like taxes are left out.
- **How budgets are set.** Most start from historical trend (year over year, or the trailing 3–6 months). Zero-based budgeting makes teams rebuild and justify the budget every cycle.
- **Cost behavior.** Separate fixed costs that don't move with volume (FP&A), variable costs that do (shipping, support), step-fixed costs that jump in steps as volume grows (customer success, added a hire at a time), and semi-variable costs with a fixed base plus a variable part (sales base salary plus commission). It makes budgets easier to project and explain.
- **Shared costs.** IT, recruiting, and facilities are allocated to departments by an agreed method: often headcount, or something more precise where possible, such as software cost by license count.
- **Currency.** Multicurrency budgets are often set in local currency, so owners aren't exposed to FX swings.
- **People.** Hiring and personnel are sensitive. Avoid unexpected personnel impacts wherever possible.

S&OP and workforce planning

Two cross-functional processes that FP&A supports and translates into financials. Both follow the same shape, and both are formal versions of the demand vs. supply approach in the main guide (section 6).

Step	Sales and operations planning (S&OP)	Workforce planning
1. Demand	Consensus sales forecast → volume and revenue forecast	Labor needs from the growth plan → headcount by role and skill
2. Supply	Production capacity, labor, suppliers, lead times → COGS forecast	Current headcount, attrition, hiring pipeline → headcount roll-forward

Step	Sales and operations planning (S&OP)	Workforce planning
3. Balance	Inventory and resource plans → working capital and capex	Gap analysis and actions (hire, train, redeploy, automate) → hiring plan
4. Financials	Operational P&L and balance sheet tied to volume	Labor cost: salaries, bonuses, commissions, payroll taxes, benefits
5. Executive review	Leaders weigh trade-offs and approve the operating plan	Leaders approve the hiring plan and department budgets

S&OP links finance to operations, so leaders can see *why* results happen. For example, a labor shortage at one site leaves orders unfilled, which cuts revenue, raises overtime cost, builds an inventory backlog, and hurts customer satisfaction. Workforce planning works best end to end, from budget approval through recruiting, offer, and hire, tracking headcount, location, role and level, and productivity.

Management reporting

Management reporting exists so the executive team and board understand performance well enough to act on it.

- **Core reports:** the monthly flash (sales, headcount, preliminary financials), the monthly reporting package (full results and projections), and the board deck (sales, operations, and finance together).
- **Formats:** self-serve dashboards, a prepared deck or spreadsheet package, an executive summary or memo, and increasingly an AI analyst agent.
- **Tell the story.** Say what is happening, why, and how management can respond. Numbers alone aren't a report.
- **Fit the audience.** Executives differ: high-level or detailed, finance-savvy or not, spreadsheet or app. Tailor to them.
- **Speed first.** Results lose value when they arrive late. Maximize speed while meeting a baseline for accuracy and granularity.

C. The planning tech stack

FP&A pulls data from systems other teams own, models it in its own planning tool, and shares it through BI and productivity tools. Know where every number comes from.

System	Owned by	What FP&A gets from it	Examples
ERP: accounting	Accounting	Actuals: invoicing, payments, accruals, revenue recognition	NetSuite, Sage Intacct, Oracle, SAP, Dynamics
ERP: operations	Operations	Inventory, materials, logistics	SAP, Oracle, Dynamics
HRIS	HR	Headcount, payroll, employee data	Workday, ADP, BambooHR
Applicant tracking (ATS)	Recruiting	Hiring pipeline, offers	Greenhouse, Lever, Taleo
CRM	Sales	Pipeline, bookings, contracts	Salesforce, HubSpot, Dynamics
Marketing systems	Marketing	Campaign and funnel data	Marketo, Demandbase, Adobe Analytics
Finance operations	Finance, IT	Billing, procurement, spend	Coupa, Ariba, Ramp, Stripe
Cloud data platform	BI, IT, or Engineering	Integrated, cleaned data from all of the above	Microsoft Fabric and Azure, AWS, GCP, Snowflake

System	Owned by	What FP&A gets from it	Examples
Business intelligence (BI)	BI, IT, or Engineering	Reporting and analytics	Power BI, Looker, Tableau, Qlik
Planning (EPM, also called CPM)	FP&A	Planning, modeling, forecasting, reporting	Anaplan, Pigment, Oracle EPM, Planful, NetSuite Planning
Productivity and collaboration	IT	Decks, docs, spreadsheets, chat	Microsoft 365, Google Workspace, Slack

The ERP, HRIS, and CRM are the core systems of record for forecasting. Finance usually owns the planning tool and works closely with BI and data teams to source operational data and share planning data across the company.

How planning technology has evolved

Era	Examples	What it brought	What held it back
On-premise (2000s)	Oracle Hyperion, SAP BPC, IBM TM1	Multidimensional cubes, transaction-level detail, integrated ERP, planning, and consolidation	Long time to value, expensive, inflexible, IT-business disconnect
Cloud (2010s)	Anaplan, Adaptive Planning, Planful	Connected planning across Finance, Sales, and Supply Chain; faster implementation; business ownership without waiting on IT	Still expensive, cube data limits, planning-BI disconnect
AI (2020s)	Still forming	Planning and BI together; all data, structured and unstructured; generative AI for more leverage per person	Much broader scope, change management, managing AI resources

Platform vs. best-of-breed

Companies choose between specialized tools for each function (best-of-breed) and one integrated platform. The case for owning the stack is in section 7 of the main guide.

	Best-of-breed	Platform
Strengths	Deepest features in each domain; easy to swap one tool	Seamless integration, one data model, simpler vendor management
Weaknesses	Integration complexity, IT overhead, fragmented experience	Possibly weaker in specific modules; vendor lock-in
Best for	Companies that need advanced capability in one area and will manage the integrations	Companies that prioritize standardization, simplicity, and cross-functional data flow

Vendor examples as of November 2026.

D. The analyst toolkit

The measures and techniques you'll use most. Learn the formulas, but focus on what each one tells you and what would move it.

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Key KPIs to know

Category	KPI	How to calculate	What it tells you
Growth	Revenue growth (YoY)	(This period − same period last year) ÷ same period last year	Momentum; compare it with market growth
Growth	CAGR	(Ending value ÷ starting value)^(1 ÷ years) − 1	Smoothed growth rate over several years
Growth	Organic growth	Revenue growth excluding acquisitions (and often FX)	Growth the business generated itself
Profitability	Gross margin %	(Revenue − COGS) ÷ revenue	Pricing strength and cost to deliver
Profitability	Operating margin %	Operating income ÷ revenue	Profitability of the core business
Profitability	EBITDA margin %	EBITDA ÷ revenue	Proxy for operating cash profit; easy to compare across companies
Profitability	Opex % of revenue	SG&A, R&D, and other expense lines ÷ revenue	Spending discipline and scale benefits
Productivity	Revenue per employee	Revenue ÷ average headcount	Workforce productivity
Working capital	DSO (days sales outstanding)	Receivables ÷ revenue × days in period	How quickly customers pay
Working capital	DIO (days inventory outstanding)	Inventory ÷ COGS × days in period	How long inventory sits before it sells
Working capital	DPO (days payables outstanding)	Payables ÷ COGS × days in period	How long the company takes to pay suppliers
Working capital	Cash conversion cycle	DSO + DIO − DPO	Days of cash tied up in operations
Cash and liquidity	Free cash flow margin	Free cash flow ÷ revenue	Share of revenue turned into cash
Cash and liquidity	Current ratio	Current assets ÷ current liabilities	Ability to cover short-term obligations
Cash and liquidity	Net debt / EBITDA	(Debt − cash) ÷ EBITDA	Leverage; a common lender covenant
Returns	ROIC	After-tax operating income ÷ invested capital	Return on all capital; creates value only above the cost of capital (WACC)
Returns	ROE, broken into parts (DuPont)	Net margin × asset turnover × equity multiplier (assets ÷ equity)	Whether shareholder returns come from margin, efficiency, or leverage
Predictability	Forecast accuracy	1 − abs(actual − forecast) ÷ actual	How much leaders can trust the forecast
Predictability	Results vs. guidance	Actual results against the guidance range	Credibility with investors

Most of these are **lagging** measures: they report results after the fact. Pair each with **leading** indicators from the business that move first, such as pipeline and bookings ahead of revenue, hiring pace ahead of headcount cost, and rising support tickets ahead of customer churn.

GTM and unit economics metrics

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Go-to-market (GTM) metrics track how a company finds, wins, and keeps customers. Funnel metrics are the leading indicators for revenue; unit economics show whether that growth creates value. They matter most in B2B and subscription businesses, but most companies use some version of them.

The funnel, in order:

Stage or metric	What it means	How to calculate
Lead	Anyone who shows interest: a form fill, event visit, or demo request	Count by source and period
MQL (marketing-qualified lead)	A lead Marketing judges likely to buy, based on fit and engagement (often a lead score); handed to Sales	Count; MQL rate = MQLs ÷ leads
SQL (sales-qualified lead)	A lead Sales has vetted as having a real need, budget, authority, and timing	Count; MQL-to-SQL conversion = SQLs ÷ MQLs
Opportunity	A qualified deal in the pipeline, with a value and expected close date	Count and value; SQL-to-opportunity conversion = opportunities ÷ SQLs
Pipeline coverage	Open pipeline compared with the bookings still needed	Open pipeline ÷ remaining bookings target; 3x or more is a common rule of thumb
Win rate	Share of decided deals that are won	Deals won ÷ (deals won + deals lost)
Sales cycle	Time from opportunity to close	Average days from opportunity created to closed
Average deal size	Typical value of a won deal	Bookings ÷ deals won
Bookings	Value of contracts signed in the period; revenue follows as it's recognized	Sum of signed contract value, often annualized as ACV (annual contract value)

Work the funnel backward to plan. This is driver-based planning for revenue, and it's how Marketing and Sales targets tie to the plan. An illustrative example:

Step	Calculation	Result
Deals needed	$12M bookings target ÷ $100K average deal	120
Opportunities needed	120 ÷ 25% win rate	480
SQLs needed	480 ÷ 60% SQL-to-opportunity conversion	800
MQLs needed	800 ÷ 30% MQL-to-SQL conversion	About 2,670

Unit economics:

Metric	How to calculate	What it tells you
CAC (customer acquisition cost)	Sales and marketing cost ÷ new customers acquired in the period	What it costs to win a customer
CLV (customer lifetime value, also LTV)	Annual revenue per customer × gross margin % ÷ annual churn rate	Gross profit a customer generates over their lifetime (1 ÷ churn rate = average lifetime in years)
CLV:CAC ratio	CLV ÷ CAC	Whether acquisition spending pays off; 3:1 or better is a common SaaS benchmark
CAC payback	CAC ÷ (monthly revenue per new customer × gross margin %)	Months to earn back acquisition cost; shorter means less cash at risk

Metric	How to calculate	What it tells you
ARPA (average revenue per account)	Revenue ÷ average number of customers	Pricing and mix; the base for CLV
Logo churn	Customers lost ÷ customers at start of period	How many customers leave
Gross revenue retention (GRR)	(Starting recurring revenue − downgrades − churn) ÷ starting recurring revenue	Revenue kept from existing customers before upsell; can't exceed 100%
Net revenue retention (NRR)	(Starting recurring revenue + expansion − downgrades − churn) ÷ starting recurring revenue	Growth from existing customers; above 100% means the base grows on its own

Watch-outs:

- **Definitions vary.** What counts as an MQL or SQL differs between companies, and often between Marketing and Sales in the same company. Write the definitions down and govern them in one place, such as the semantic layer, or the funnel won't tie.
- **Load CAC fully.** Include salaries, commissions, tools, and agency costs, not just ad spend, and say whether CAC is blended or paid-only.
- **Build CLV on gross margin, not revenue.** A revenue-based CLV overstates what a customer is worth.
- **Use cohorts, not just averages.** Track conversion and retention by start month, segment, and channel; blended averages hide trends.
- **Match the time lag.** An MQL this quarter may close two quarters later, so compare stages across the right periods when computing conversion.

Operations metrics

Operations metrics show how well the business delivers. They move before the financials do: service levels drive revenue and retention, turnover and cycle times drive working capital and cost, and contribution margin shows which volume is worth having.

Category	Metric	How to calculate	What it tells you
Service levels	On-time delivery (OTD)	Orders delivered by the promised date ÷ total orders	Reliability as customers experience it
Service levels	On-time in full (OTIF)	Orders delivered on time and complete ÷ total orders	A stricter OTD; common in retail and manufacturing
Service levels	Fill rate	Units (or order lines) shipped from stock ÷ units ordered	Whether inventory is in the right place
Service levels	SLA attainment	Requests handled within the agreed time ÷ total requests	Service and support performance against commitments
Service levels	Past-due backlog	Value of orders past their promised date	Revenue at risk; an early sign of customer pain
Service levels	Customer satisfaction (CSAT, NPS)	CSAT: share of satisfied survey responses. NPS: % promoters − % detractors	How customers feel; a leading indicator of retention
Turnover	Inventory turnover	COGS ÷ average inventory	How many times inventory sells through in a year; 365 ÷ turns = DIO

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Category	Metric	How to calculate	What it tells you
Turnover	Employee turnover (attrition)	Employees who left ÷ average headcount, annualized	Workforce stability; split voluntary vs. involuntary and regretted vs. non-regretted
Cycle times	Order-to-cash	Days from order received to cash collected	How fast sales turn into cash
Cycle times	Order fulfillment (lead time)	Days from order to delivery	Speed to customer; drives service levels and inventory needs
Cycle times	Procure-to-pay	Days from purchase request to supplier payment	Purchasing efficiency and control
Cycle times	Time to hire	Days from requisition opened to offer accepted	Whether hiring keeps pace with the headcount plan
Cycle times	Days to close	Business days from month end to closed books	Finance speed; sets when FP&A gets final actuals
Contribution margin	Contribution margin	Revenue − all variable costs	What each sale contributes to fixed costs and profit
Contribution margin	Contribution margin %	Contribution margin ÷ revenue	Profitability of extra volume; the input to breakeven
Contribution margin	Contribution margin per unit	Price − variable cost per unit	Pricing floor, and product, channel, or customer mix decisions
Capacity and quality	Capacity utilization	Output (or hours) used ÷ output (or hours) available	Room to grow before adding cost; for services, billable hours ÷ available hours
Capacity and quality	First-pass yield	Units or work done right the first time ÷ total	Quality; rework and scrap are hidden costs

Contribution margin vs. gross margin. Gross margin subtracts COGS, which can include fixed production costs but leaves out variable selling costs. Contribution margin subtracts every variable cost, including commissions and shipping, and no fixed costs. Use it for volume, pricing, and mix decisions.

Pair operations measures. Inventory turns with fill rate, speed with first-pass yield, utilization with attrition. Pushing one alone usually hurts its partner.

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Choosing KPIs

- **Start from what matters.** Choose measures that track strategy and value drivers; data that's simply easy to pull isn't a reason to track it.
- **Keep it short.** Around 8–12 measures at the company level; team dashboards roll up to support that view.
- **Mix leading and lagging.** Lagging measures confirm results; leading ones give you time to act.
- **Balance the view.** Cover financial, customer, operational, and people measures.
- **Expect measures to change behavior.** People focus on whatever is tracked, especially when pay depends on it. Pair measures to avoid side effects: pushing DSO down alone can tighten credit and cost sales.
- **Pick a sensible cadence.** Checking too frequently means reacting to noise instead of trends.
- **Use judgment alongside the numbers.** Dashboards inform decisions; they don't replace time with customers, employees, and suppliers.

Source: these principles, including the 8–12 measure guideline, are adapted from Jack Alexander, Financial Planning & Analysis and Performance Management *(Wiley, 2018), chapters 8 and 9.*

Analysis techniques

Technique	What it is	Use it to
Variance bridge	Break a gap into drivers: price, volume, mix, cost, FX, one-time items	Explain why results moved
Trend and run-rate check	Compare a forecast with history and the current weekly or monthly run rate	Catch "hockey stick" forecasts that need a reason
Pareto (80/20)	Rank items by size; about 20% usually drive 80% of the value	Focus effort on the drivers that matter
Root-cause analysis	Keep asking why, and group issues by cause	Turn a variance into an action
Breakeven	Fixed costs ÷ contribution margin per unit (or margin %)	Find the volume needed to cover costs
Operating leverage	% change in operating income ÷ % change in revenue	See how profit swings with volume; higher when more costs are fixed
Sensitivity analysis	Flex one assumption at a time	Find which assumptions matter most
Scenario analysis	Change several assumptions together (upside, base, downside)	Plan responses before events happen
Expected value	Each outcome × its probability, summed	Weigh risks and opportunities in one number
Benchmarking	Compare metrics with peers and best-in-class companies	Set realistic targets and spot gaps

Evaluating investments

Measure	How it works	Decision rule
Net present value (NPV)	Future cash flows discounted at the cost of capital, minus the investment	Positive NPV creates value; the primary test
Internal rate of return (IRR)	The discount rate at which NPV equals zero	Invest if IRR beats the hurdle rate, which is at least the cost of capital and often set higher

Measure	How it works	Decision rule
Payback period	Years until cumulative cash flow repays the investment	Shorter means less risk, but it ignores cash after payback

Use all three, lead with NPV, and review the investment after launch to check whether the case delivered.

Measuring enterprise value

Five common ways to measure enterprise value (EV). Section 1 of the main guide covers why EV is the ultimate measure of FP&A's impact.

Method	How it works	When it's used
Market (balance sheet)	Market cap + debt + preferred equity + minority interest − cash	The standard quoted EV for public companies; a quick snapshot
Discounted cash flow (DCF)	Present value of future free cash flows, discounted at the cost of capital (WACC), plus a terminal value	The most rigorous intrinsic view, when forecasts are reliable
Trading multiples	Company metric × peer multiple (e.g., EV/EBITDA, EV/Revenue)	Quick comparison with similar public companies
Transaction multiples	Company metric × multiples paid in similar acquisitions	Valuation ranges grounded in actual M&A deals
Adjusted book value	Fair value of net assets (an equity value), plus net debt to reach EV	Asset-heavy or distressed businesses, when market methods are unreliable

DCF is why forecast quality matters: an unreliable forecast means an unreliable valuation.

E. Glossary

Term	Plain-English meaning
Actuals	Recorded results for a closed period
Close	Accounting's process of finalizing a period's books
Business day (BD)	Working days counted from month end; "BD 5" is the fifth
Annual operating plan (AOP) / budget	The approved financial plan and targets for the year
Long-range plan (LRP)	A 3–5 year plan that informs strategy and investor valuation
Forecast	The current best estimate of future results, updated regularly
Rolling forecast	A forecast that always looks a fixed distance ahead (often 4–6 quarters), adding a period as each one closes; unlike a year-to-go forecast, it doesn't stop at fiscal year-end
Flash	Fast preliminary results shared with leadership right after month end
Outlook / latest estimate (LE)	Quarterly reforecast of the full year: actuals to date plus forecast for the rest
"3+9" (actual + forecast)	Names a year-to-go forecast version by months of actuals plus months of forecast
Variance	The gap between two numbers (actual vs. plan, forecast, or prior year), labeled favorable or unfavorable

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Term	Plain-English meaning
Bridge / walk	A table or chart showing how one number became another, driver by driver
Driver	An operational input that determines a financial result (headcount, units, price, win rate)
Driver-based planning	Building financials from drivers rather than typing in dollar amounts
Fact / dimension	The numbers themselves (amount, units, hours) / the attributes that slice them (account, department, entity, product, customer, time, version)
Hierarchy	How detail rolls up: accounts to P&L lines, departments to functions, entities to the consolidated company
Mapping	A translation from a source system's codes to the reporting structure
Version	A named, locked view of the numbers (actual, budget, a specific forecast) that shares the same dimensions as the others
Grain	The level of detail data is stored at (transaction, daily, monthly); it sets which questions the data can answer
Star schema	A warehouse design with fact tables of numbers joined to dimension tables that describe them
KPI	A metric leadership uses to track performance against goals
MQL / SQL	Marketing-qualified lead (Marketing judges it likely to buy) / sales-qualified lead (Sales has vetted the need, budget, and timing)
Bookings / ACV	Value of contracts signed in a period / annual contract value: a contract's value per year
Billings	Invoices sent to customers in a period; they create receivables and, when billed ahead of delivery, deferred revenue
Collections	Cash received from customers in a period
Deferred revenue	Billed or collected but not yet earned; a liability until the company delivers
Backlog / RPO	Contracted revenue not yet recognized; public companies disclose it as remaining performance obligations
CAC / CLV	Cost to acquire a customer / gross profit a customer generates over their lifetime (also called LTV)
GRR / NRR	Gross / net revenue retention: recurring revenue kept from existing customers, before / after expansion
OTD / OTIF	On-time delivery / on-time in full: share of orders delivered on time (and, for OTIF, complete)
Inventory turnover	COGS ÷ average inventory: how many times inventory sells through in a year
Cycle time	Time a process takes end to end, such as order to cash or requisition to hire
Contribution margin	Revenue minus all variable costs; what's left to cover fixed costs and profit
Binding constraint	The tightest limit, on the demand or the supply side, that sets what the business can actually achieve
Sales capacity	Bookings the sales team can close: ramped reps × quota × expected attainment
Triangulation	Building the same number several independent ways and explaining the gaps before settling on one
Inform / Align / Predict	FP&A's three mechanisms: objective input to specific decisions / the loop that sets goals and holds leaders to decisions / a reliable view of what's coming

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Align loop	Plan → Track → Explain → Decide: FP&A's monthly loop for running performance against the plan
Risks and opportunities (R&O)	Events that could move the forecast, each with an impact, probability, timing, and owner
Strategic interviews	Structured conversations with business partners to surface risks, opportunities, and the why behind results
Run rate	Current performance projected forward, often annualized
Top-down / bottom-up	Targets set from leadership ambition vs. built up from functional detail
Sandbagging	Setting a deliberately easy target or forecast so it's sure to be beaten
Scenario / sensitivity	An alternative version of the forecast / how much the result moves when one input changes
Budget owner	The leader accountable for a department's budget
Zero-based budgeting (ZBB)	Rebuilding and justifying a budget from zero each cycle instead of from last year
Controllable costs	Costs a budget owner can influence; usually the scope of their budget
Fixed / variable / step-fixed / semi-variable costs	Costs that stay flat, move with volume, jump in steps as volume grows, or combine a fixed base with a variable part
Allocation	Spreading shared costs (IT, facilities) to departments by an agreed method
Headcount plan	Planned hires, timing, and cost by function; often the largest Opex driver
S&OP	Sales and operations planning: aligning demand, supply, and financial plans
Guidance	Forward-looking ranges a public company shares with investors
Consensus	The average of analyst estimates; what the market expects
GAAP / non-GAAP	Results under accounting standards vs. adjusted measures companies also report (e.g., adjusted EBITDA)
COGS / Opex	Direct cost of delivering the product / operating expenses such as sales, R&D, and G&A
Gross margin	Revenue minus COGS, as a percentage of revenue
EBITDA / operating income	Common profitability measures used to judge the core business
Free cash flow	Cash from operations minus capital expenditures
Working capital	Current assets minus current liabilities; mainly receivables, inventory, and payables
Direct / indirect cash flow method	Cash flow built from actual receipts and payments / derived from net income
Enterprise value (EV)	Total value of a company's operations: market cap + debt − cash
DCF	Discounted cash flow: valuing a business as the present value of its future free cash flows
ROIC	Return on invested capital: profit generated per dollar of capital deployed
MBR / QBR	Monthly / quarterly business review
MNPI	Material non-public information
ERP / HRIS / CRM	Core systems of record for accounting and operations / people / sales
EPM / CPM	Enterprise (or corporate) performance management: the planning software FP&A owns

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Term	Plain-English meaning
Semantic layer	Shared, governed business definitions of metrics so every report calculates them the same way
Stack layers	Governed Data, Semantic, Modeling, Context, Agentic: the five layers of a modern FP&A stack, each built on the one before
Context layer	The business knowledge and connections AI agents need to reason about the company: definitions, processes, policies, and past decisions
Connected Planning	Planning aligned across all functions on one set of objectives and data
Strategic Finance Impact Curve	A framework for where FP&A's time goes: Forecasting + Reporting → Operating → Strategizing